Morning Briefing

Friday, 26 June 2026 | Generated ~06:00 BST (London) | Pre-European Open

2. Important News

Apple and Microsoft announce hardware price hikes of up to $300 / $150. Apple raised MacBook and iPad prices by $100–$300 citing AI-driven memory cost surge (DRAM +98% YoY); Microsoft raised Xbox consoles by $100–$150. Apple shares fell 5.6% to $276.68 on the news, dragging Nasdaq to a fourth consecutive down day.
Sources: CBS News, Euronews, SiliconANGLE — 25–26 Jun 2026

Micron Q3 FY2026 earnings crush estimates: EPS $25.11 vs $20.20 exp; revenue $41.46B vs $35.84B exp. Revenue quadrupled YoY driven by AI/HBM demand. Stock up ~15% after hours, market cap crosses $1 trillion. Sixteen long-term supply agreements signed with data-center operators and automakers.
Sources: CNBC, Investing.com — 24 Jun 2026

US-Iran Islamabad Memorandum: oil sanctions waived 60 days, freeing ~67M barrels. Deal signed June 17 at Versailles G7. US waived sanctions on Iranian crude for 60 days. Brent fell to $74.43 (-1.1%), WTI broke below $70. Progress on Strait of Hormuz reopening. Israel-Hezbollah ceasefire terms disputed.
Sources: CSIS, Al Jazeera, Wikipedia — 17–23 Jun 2026

US Core PCE rose to 3.4% YoY in May (from 3.3% in April); Fed holds rates at 3.50–3.75%. New Fed Chair Kevin Warsh left rates unchanged at June 17 FOMC. June dot plot projects PCE at 3.6% for year-end 2026. 10Y Treasury yield holding near 4.40–4.45%, keeping pressure on duration.
Sources: BEA / Fed, Kraken Blog — 25 Jun 2026

Nasdaq records first four-day losing streak since February; Dow touched intraday record 52,655. Narrow market leadership: one sector (industrials/energy) carrying the index. Wendy's +13%, Caterpillar +6% on Thurs. Mag7 heavy on Apple and Microsoft price-hike narrative. AI memory trade paradox: chip scarcity hurting device makers but boosting Micron.
Sources: TheStreet, CNBC — 25 Jun 2026

3. European Futures — Pre-Open

Data collected ~06:00 BST, 26 Jun 2026. Sources: Barchart, Eurex, Investing.com.

CONTRACT	LEVEL	CHANGE / BIAS	NOTE
Euro Stoxx 50 (FESX)	6,326	Opened 6,329 / slight negative bias	Iran/oil drag; Apple/tech overhang from Wall St.
DAX Futures	*n/a (infer from cash: ~25,000)*	Flat to slightly lower	Cash closed 24,995 on Thurs; futures tracking lower
CAC 40 Futures	*n/a*	Marginally lower	Oil sensitive; BNP, TotalEnergies in focus
FTSE 100 Futures	*n/a*	Lower; oil and mining drag	FTSE oil-heavy; Brent at $74.43 weighs on majors
S&P 500 Futures	*n/a (cash 7,357)*	Flat; sentiment fragile	Micro-positive Micron; macro drag from PCE/ rates
Nasdaq 100 Futures	*n/a (cash Nasdaq 25,359)*	Negative bias	Apple drag; 4th down day in a row

4. Yesterday's Closes — European Indices (25 Jun 2026)

Sources: Barchart, Trading Economics, CNBC. Collected ~18:00 BST 25 Jun 2026.

INDEX	CLOSE	CHANGE %	NOTE
Euro Stoxx 50	5,374.68	+0.76%	Broad European bid on earlier part of session
DAX 40	24,994.83	+1.03%	+254 pts; industrials and auto sector supportive
CAC 40	8,431.61	+0.55%	Energy names partially offset; luxury stable
FTSE 100	10,529.89	+0.65%	Oil majors mixed; financials positive

5. US Markets — Session 25 Jun 2026

Sources: TheStreet, CNBC. Collected ~21:30 BST 25 Jun 2026.

INDEX	CLOSE	CHANGE %	CHANGE PTS
S&P 500	7,357.49	-0.01%	-0.7
Dow Jones Industrial Average	51,920.62	+0.14%	+71.72
Nasdaq Composite	25,358.60	-0.46%	4th down day; longest losing streak since Feb

Session tone: Split market. Dow touched intraday record 52,655.66 on industrials/energy strength, but Nasdaq dragged lower by Mag7. Apple -5.6% (MacBook/iPad price hike); Microsoft fell on Xbox hike. Micron +15% after hours boosted memory/AI sentiment. Wendy's +13%, Caterpillar +6% on the industrial side.

Leading sectors: Industrials, Energy (Iran deal uncertainty), Materials.

Lagging sectors: Technology (Apple/MSFT drag), Consumer Discretionary (hardware price hikes).

Key takeaway: Market breadth narrowing further. One sector carrying the Dow to records while tech falters on AI memory cost pass-through to consumers. Narrow leadership is a fragility signal.

6. Asian Markets — Overnight Session 26 Jun 2026

Sources: CNBC, Investtech, Trading Economics. Data as of ~06:00 BST 26 Jun 2026. Note: some figures are latest available closes (25 Jun JST/HKT).

INDEX	LEVEL	CHANGE %	DRIVERS
Nikkei 225 (Japan)	69,175	-0.88%	Tech and export names weaker; Apple supply chain drag; yen watch
Hang Seng (Hong Kong)	23,336	-1.80%	Fed hawkish signal (rates higher for longer); tech selloff
Shanghai Composite (China)	*n/a*	*n/a*	Medium-term rising trend; AI and data-center spending supportive
Kospi (South Korea)	*n/a*	*n/a*	Memory/chipmaker rally post-Micron earnings; Samsung, SK Hynix in focus

Overall tone: Cautious to negative. Fed higher-for-longer narrative and tech sector headwinds from Apple/Microsoft price hikes weigh on Asia. Kospi likely the outlier to the upside on Micron earnings spillover into Samsung and SK Hynix.

7. Commodities

Sources: Trading Economics, Barchart, JM Bullion, Fortune. Collected ~06:00 BST 26 Jun 2026.

COMMODITY	LEVEL	CHANGE	NOTE
Brent Crude	$74.43 / bbl	-1.11%	4th down session; Iran deal progress; ~67M barrels to be released
WTI Crude	~$69.70 / bbl	Below $70	Breaks key $70 support; nearly wiped out all Middle East conflict premium
Gold (spot)	$4,008 / oz	-0.47% / -5%+ WoW	Hawkish Fed + Iran peace erodes safe-haven bid; testing $4,000 support
Natural Gas (NYMEX)	*n/a*	*n/a*	Strait of Hormuz reopening a medium-term supply tailwind for LNG
Copper (LME/CME)	~$6.10 / lb	>-3% (24 Jun)	Dollar strength (DXY ~101.4) and demand uncertainty pressured metals

Notable: Brent has now given back the bulk of gains since the Middle East conflict began. WTI sub-$70 is a key threshold for energy sector earnings revisions. Gold below $4,000 on an intraday basis for the first time in weeks — watch for support test.

8. Rates & FX

Sources: Trading Economics, Bundesbank, Forex.com, Barchart. Collected ~06:00 BST 26 Jun 2026.

INSTRUMENT	LEVEL	CHANGE / TREND	NOTE
US 10Y Treasury	~4.40–4.45%	Elevated; Warsh hawkish	PCE 3.4% YoY keeps Fed on hold; long end signaling higher-for-longer
German 10Y Bund	~2.92–2.97%	Easing slightly	ECB divergence vs Fed; EU disinflation still gradual
EUR/USD	~1.1430	Dollar bid	DXY strength on hawkish Fed above 101; EUR capped
GBP/USD	~1.3400	Mildly lower	BoE on hold; UK rate expectations trailing US
DXY (Dollar Index)	~101.4	Near 1yr+ high	Fed higher-for-longer; hawkish Warsh; Iran deal reduces risk-off safe-haven flows

Context: The US-Germany 10Y spread (~145 bps) reflects divergent central bank paths. DXY near 101.5 highest in over a year, pressuring EM currencies and commodity prices. Gold and oil denominated moves partly FX-driven.

9. DCM — Primary Bond Market

YESTERDAY'S ISSUANCES (25 JUN 2026)

ISSUER	SIZE	TENOR	COUPON / SPREAD	TIGHTENING	TYPE
RELX (IG Corporate)	*n/a*	*n/a*	*n/a*	*n/a*	Euro IG Corporate
Gecina (Real Estate)	*n/a*	*n/a*	*n/a*	*n/a*	Euro IG Corporate
Carrefour (Retail)	*n/a*	*n/a*	*n/a*	*n/a*	Euro IG Corporate
Smith & Nephew (Healthcare)	*n/a*	*n/a*	*n/a*	*n/a*	Euro IG Corporate
Ecolab Inc (Specialty Chemicals)	*n/a*	*n/a*	*n/a*	*n/a*	USD IG (US context)

Note: Specific deal sizes and spread data not available in open sources. Named issuers sourced from GlobalCapital coverage — full terms require subscription access.

PIPELINE / EXPECTED TODAY (26 JUN 2026)

Friday is typically a light issuance day. Market tone from Iran/oil and Nasdaq weakness will temper new mandates. AI infrastructure and data center-linked paper remains in demand — several hundred billion dollars of AI-related issuance targeted for full year 2026. No specific mandates sourced for today; primary market expected quiet ahead of week end.

KEY SPREADS

INDEX	LEVEL (APPROX.)	TREND	NOTE
iTraxx Main (5Y)	*n/a*	TIGHT Historically tight	IG OAS broadly ~80bps; technical bid from yield-chasers
iTraxx Crossover (5Y)	*n/a*	TIGHT Near historic lows	HY spreads compressed; new AI issuance supply risk ahead
CDX IG (5Y)	*n/a*	TIGHT	US IG near historic tights; Iran war briefly widened, now reverting
Avg Euro Corp IG OAS	~80 bps	TIGHT	AA issuers tighter; BBB issuers wider; demand firm

Note: Real-time iTraxx/CDX bps levels require Bloomberg/LSEG terminal. Figures above are indicative approximations from published commentary.

DCM COMMENTARY

Primary market window remains technically open but issuance expected light on Friday. Spreads sit at historically tight levels across IG and HY, supporting issuer economics but limiting relative value for investors. The geopolitical backdrop (Iran peace deal, oil normalization) has reduced the risk-off premium, improving credit conditions. Key risk: AI data-center related supply wave — several hundred billion dollars targeted in 2026 — could pressure technicals if concentrated. Friday issuance volumes typically low; watch for any opportunistic mandates from industrials or SSA sector seeking to close before summer holidays.

10. Economic Calendar — 26 Jun 2026 (Friday)

Sources: LiteFinance weekly calendar, Kraken Blog, Investopedia. Priority: high = market-moving, medium = watch.

LONDON TIME	COUNTRY / INDICATOR	CONSENSUS / PRIOR	IMPORTANCE
09:00 BST	Eurozone — Business/Consumer Confidence (est.)	*n/a*	MEDIUM
09:30 BST	UK — GDP Q1 2026 Final / Current Account	*n/a*	HIGH
13:30 BST	US — PCE Price Index May (already released 25 Jun)	Core 3.4% YoY (actual)	HIGH — now digesting
15:00 BST	US — Michigan Consumer Sentiment (final June)	*n/a*	MEDIUM
All day	Fed — No scheduled speakers (post-FOMC quiet period ending)	—	LOW

Note: Specific times and consensus data not fully confirmed from open sources for all items. Treat as indicative. Verify against official calendars (Reuters, Bloomberg).

11. Corporate Events & Earnings

Sources: Kiplinger, Yahoo Finance Earnings Calendar, Nasdaq. Light earnings day — 4 reports expected vs 37 on Thursday.

Micron Technology (MU) — Post-close 25 Jun: Already reported. EPS $25.11 beat. Stock +15% afterhours. Watch for opening gap and extended session volatility. Analyst upgrades likely today.

TTM Technologies (TTMI): Joins Russell 1000 index effective today (26 Jun). Passive inflow demand expected; watch for opening volume surge.

MDA Space Ltd: Completing definitive agreement to acquire Blue Canyon Technologies from RTX Corp for $620M (announced 19 Jun). M&A completion watch.

Broader earnings note: Q2 2026 earnings season proper begins 2nd week of July. FactSet projects S&P 500 Q2 earnings growth of 22.0% YoY — second straight quarter above 20%.

Apple (AAPL): No formal earnings today but price hike announcement effectively reprices FY2027 estimates. Analyst community likely issuing target revisions throughout the session.

12. Stocks to Watch

Sources: CNBC, TheStreet, StockTitan, Motley Fool. Focus: Aviation, Shipping, Metals & Mining, A&D, Banks, Energy.

COMPANY (TICKER)	REASON	DIRECTION BIAS
Micron Technology (MU)	Q3 2026 earnings crush: EPS $25.11 vs $20.20 exp; revenue $41.46B vs $35.84B; +15% afterhours; market cap >$1T	Strongly up — watch for gap open and sector rotation into memory names
Apple (AAPL)	MacBook/iPad price hikes ($100–$300) on AI memory cost surge; shares -5.6% to $276.68 on Thurs; iPhone hike possibility flagged	Continued selling pressure; watch for support at $270
Microsoft (MSFT)	Xbox price hike ($100–$150 across SKUs) on AI memory cost pass-through; shares fell in sympathy with Apple	Negative to flat; watch for analyst re-ratings
Samsung Electronics / SK Hynix (via ADRs)	Micron earnings validate AI memory supercycle; Kospi memory names likely to rally in sympathy	Upside bias — memory sector re-rating in progress
BP / Shell / TotalEnergies	Brent at $74.43 (-1.1%), WTI below $70; Iran oil sanctions waived for 60 days; supply normalization accelerating	Earnings estimate headwind; watch $70 WTI threshold for further cuts
Maersk (AMKBY) / Zim (ZIM)	Strait of Hormuz reopening a medium-term negative for rates (normalization of shipping route); Thursday: Maersk +2.83%, Zim +1.13%	Mixed; short-term momentum positive but Hormuz normalization is structural headwind
RTX Corporation	Selling Blue Canyon Technologies to MDA Space for $620M; portfolio streamlining; defense budget tailwind ($1.5T FY2027 proposal)	Mildly positive on M&A simplification and defense spending backdrop
Caterpillar (CAT)	+6% on Thursday — industrial strength; Iran deal infrastructure reconstruction potential; beneficiary of Strait of Hormuz reopening trade routes	Continuation momentum; watch Friday consolidation
TTM Technologies (TTMI)	Russell 1000 index inclusion effective today; passive inflow buying expected	Mechanical buying catalyst; watch opening volume
Gold miners (Newmont, Barrick)	Gold at $4,008, down 5%+ WoW as Fed hawkishness and Iran peace reduce safe-haven demand; gold testing $4,000 support	Further downside if gold breaks $4,000 on close

13. Macro / Corporate / Political Highlights

MACRO

Fed holds at 3.50–3.75%; dot plot projects 3.6% PCE year-end 2026. New Chair Kevin Warsh presided over June 17 FOMC, keeping rates steady. Core PCE ticked up to 3.4% YoY in May, reinforcing higher-for-longer narrative. No rate cut in sight before Q4 2026 at earliest.

AI memory cost inflation becoming macro event. DRAM/NAND prices up 98% in 2026. Apple and Microsoft passing costs to consumers. Risk: broader consumer electronics inflation feeding back into PCE. Simultaneously boosts Micron/memory sector.

Oil normalization underway. WTI sub-$70 nearly wiping out all Middle East conflict premium. If sustained, reduces energy component of US/EU inflation. Medium-term disinflationary, but short-term uncertain as Iran deal details remain incomplete.

CORPORATE

Micron crosses $1 trillion market cap. Stock up ~700% YoY. Sixteen long-term supply agreements. AI/HBM memory is the defining corporate story of 2026. Validates Samsung and SK Hynix investment theses.

Mag7 fracturing under AI memory cost burden. Apple and Microsoft device businesses squeezed by the same AI infrastructure boom that enriches Nvidia and Micron. Classic intra-sector value transfer.

Defense M&A active: RTX/MDA Space $620M Blue Canyon deal; MDA expanding space tech footprint. US $1.5T defense budget proposal for FY2027 sustaining sector sentiment.

POLITICAL / GEOPOLITICAL

US-Iran Islamabad Memorandum (signed 17 Jun, Versailles). Trump and Pezeshkian signed deal ending Iran-US war. US sanctions on Iranian oil waived 60 days. Strait of Hormuz reopening. Next 60 days: talks on uranium enrichment and frozen assets. Netanyahu disputes Hezbollah ceasefire terms — Lebanon situation remains live risk.

China refiners absorbing freed Iranian crude. Chinese state and independent refineries largest buyers of 67M barrels from Iranian tankers. Geopolitical risk: further US-China tension if Chinese buyers seen as circumventing future sanctions.

Trump defense spending push ($1.5T FY2027). Political backdrop supports defense contractor capex and hiring. Aerospace & defense sector structurally bid on budget trajectory.

14. Key Themes — Top 5 by Horizon

TODAY'S TOP 5 (26 JUN 2026)

1. Micron gap open and sector read-across. Stock up 15% after hours on record Q3 results. Watch how Samsung/SK Hynix ADRs and the Philadelphia Semiconductor Index open — determines whether AI memory trade has another leg today.

2. Apple/Microsoft fallout — Nasdaq direction. Tech names on the back foot heading into Friday. Whether buyers step in at support levels ($270 AAPL) or selling accelerates will set the tone for end-of-week risk appetite.

3. WTI sub-$70 and energy sector implications. A sustained break below $70 would prompt earnings estimate cuts for European and US oil majors. Watch BP and Shell early in the European session.

4. Gold $4,000 support test. Gold down 5%+ on the week. A close below $4,000 confirms the bearish reversal driven by hawkish Fed and Iran peace deal. Gold miners will follow.

5. Michigan Consumer Sentiment (15:00 BST). With Apple/MSFT hiking hardware prices, consumer confidence readings take on added significance as an inflation expectations gauge.

THIS WEEK'S TOP 5

1. AI memory cost crisis vs. AI infrastructure boom — two sides of the same coin. Micron's $1T market cap and Apple's price hikes are both products of the same DRAM scarcity. This week crystallised the bifurcation between memory producers and device manufacturers.

2. Oil normalization via Iran deal. Brent fell from ~$80+ to $74 this week. Four consecutive down sessions. The market is pricing a substantial supply normalisation over the 60-day sanctions waiver window.

3. Fed hawkishness confirmed by PCE 3.4%. Core PCE ticking up keeps the Fed's hand stayed. No cuts visible for H2 2026. Duration positioning under pressure.

4. Mag7 leadership rotation. Nasdaq's 4-day losing streak. Industrials and energy outperforming tech this week. Market breadth narrowing at an index level signals underlying fragility.

5. Dollar at multi-year highs. DXY ~101.4–101.5, near 1-year+ high on Fed divergence. Commodity pressure, EM stress, and European equity FX headwinds all downstream effects.

THIS MONTH'S TOP 5

1. June FOMC — rates held at 3.50–3.75%. New Chair Warsh framing the cycle. Markets now pricing later and shallower cuts than January consensus. Long-end yields will keep repricing as PCE remains elevated.

2. Iran peace deal and oil market reset. The Islamabad Memorandum is the biggest geopolitical market event of 2026. Oil risk premium structurally lower but uncertainty about uranium/hezbollah clauses keeps tail risk alive.

3. AI memory supercycle validation. Micron Q3 and the hardware price hike wave confirm AI-driven memory demand as a multi-year structural trade. Stocks up 700% YoY; sector momentum intact.

4. EU H1 2026 bond issuance nears target. EU Commission has completed 6 syndications (€8B + €9B + €11B + others) targeting €90B in H1. Completion of H1 program shapes Q3 SSA calendar and EUR credit technicals.

5. Q2 earnings season preview. FactSet projects +22% EPS growth for S&P 500 Q2 — second consecutive quarter above 20%. Season starts in earnest 2nd week of July. AI capex and memory cost inflation will be the dominant management commentary themes.

15. Key Trends to Watch

1 DAY — TODAY'S SESSION

Micron gap open: Will AI memory trade gap open and fade, or sustain? Determines whether semiconductor sector leads a broader risk-on session or reverts.

Apple at $270 support: If AAPL grinds lower through $270, expect Nasdaq weakness to persist and drag European tech names (ASML, SAP) lower.

WTI $70 handle: A confirmed close below $70 signals accelerated energy sector earnings downgrades. Watch BP, Shell, TotalEnergies at European open.

Gold $4,000 defence: Spot gold tracking below $4,010. A close below $4,000 is technically significant and may accelerate safe-haven unwind.

1 WEEK — NEXT WEEK

US June jobs report (first Friday of July): Key test for Fed path and whether Warsh's hawkish signal is validated by a hot labour market or tempered by softening employment.

Iran negotiation progress: The 60-day sanctions waiver window started mid-June. Talks on uranium enrichment and frozen assets resume next week. Each negotiation headline a direct oil price catalyst.

Primary bond market reopening after Fri quiet: Window should be active Monday/Tuesday. Watch for industrials, transport, or energy issuers pricing ahead of holiday season.

Analyst re-ratings of Apple/Microsoft: Price target revisions will land Monday morning. Magnitude of cuts will shape tech sector sentiment for the week.

1 MONTH — JULY OUTLOOK

Q2 earnings season: Kicks off mid-July. AI capex commentary from hyperscalers (Amazon, Google, Meta) and hardware cost pass-through (Apple iPhone) will be the dominant investment themes.

Oil market new equilibrium: If Iran deal holds through August, Brent at $65–$70 becomes base case, resetting energy sector and inflation trajectory simultaneously.

Fed communication and dot plot drift: Warsh hawkishness embedded in June dot plot. Any CPI/PCE softer prints in July could revive rate cut speculation for September FOMC.

EU H2 bond programme: Following completion of the H1 €90B EU issuance programme, the H2 calendar and any revisions will be closely watched by SSA and sovereign investors.

Sources: Reuters, Bloomberg, CNBC, TheStreet, CBS News, Euronews, SiliconANGLE, Investing.com, Barchart, Trading Economics, LiteFinance, Fortune, JM Bullion, CSIS, Al Jazeera, Wikipedia, GlobalCapital, Morningstar, BEA/FRED, Kraken Blog, StockTitan, Kiplinger, Motley Fool, Macrotrends, Bondsavvy.

Data collected automatically via web search 26 June 2026, ~06:00 BST. Verify all figures before making any investment decision. Some data points marked n/a where reliable open-source data was unavailable.